firms that would shake a phone and artificially drive up the number of steps recorded on it. [2]

Human beings look at policies and rethink their optimizations. When kerosene is cheaper than petrol, we should expect that people will adulterate petrol using kerosene.

In the sixteenth century, Dutch authorities levied taxes on individuals based on the width of their houses. This has led to narrow houses. The narrowest houses in Amsterdam are 80 centimetres wide. [3]

The response to changed incentives is often small in the short run, but in time, big changes come about.

Far-reaching changes in behaviour are feasible, over the medium term, when the price system gives out the correct incentives.

India has long had difficulties in vaccine production, which were rooted in fixed price arrangements. When more remunerative production arrangements were made, vaccine production in India has bloomed, and India is now an important exporter of vaccines. [4]

Politicians and officials also respond to incentives

People respond to incentives.
Politicians and officials are people.
Therefore politicians and officials respond to incentives.

Many times, we criticize the working of a government organization, and get worked up about the mindset of the staff. The economist Percy Mistry has always emphasized that in public policy discussions, we are not allowed to ask for a change in the mindset.

Politicians and officials are not benevolent; they are self-interested actors. What appears to be an entrenched mindset, or an entrenched organizational culture, is always endogenous to incentives. A government organization that is riven with corruption is not one which was unlucky to